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Takeaways from air travel expert call

Declining volumes and tightening regulations create headwinds for the air ticketing industry

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Key highlights

The Nomura China Internet Team recently hosted a call with an expert from a leading Chinese flight management and air ticketing application. The expert noted that Chinese air passenger volumes have declined since 2Q26, driven by higher air fuel surcharges. Looking ahead to the peak summer travel season, the expert projects a 4% y-y drop in air passenger trips. This is attributed to fuel surcharges that remain elevated on a relative basis, despite the aviation authority initiating reductions in June. Additionally, a tightening regulatory environment—spearheaded by major airlines altering their commission and distribution policies—is currently pressuring the air ticketing revenues of OTAs (online travel agencies).

Macro and geopolitical headwinds weighing on air travel

According to the expert, the total air passenger volume carried by Chinese airlines reached 375mn passenger trips in 1H26, up 1% y-y. However, the growth trajectory was highly uneven. While 1Q26 recorded average volume growth of approximately 7% y-y, 2Q26 witnessed a meaningful decline of 4-5% y-y. This contraction was primarily driven by surging fuel prices stemming from geopolitical conflicts in the Middle East.

Consequently, Chinese aviation authorities significantly raised air fuel surcharges in back-to-back hikes during April and May. As of May, the fuel surcharge for flight routes over 800km stood at CNY170/flight, a sharp increase from CNY20/flight in January 2026. Authorities began lowering these surcharges in June; they currently stand at CNY100/flight for distances over 800 km. While this represents a retreat from the May peak, it remains considerably above 2025 levels below CNY40/flight (*Fig. 1*).

Driven by the April and May fuel surcharge hikes, overall air ticket prices (inclusive of fuel surcharges) have strengthened. The average domestic economy class airfare for 1H26 was CNY808 (USD115), up 9% from 2025. On a quarterly basis, the average domestic airfare was CNY784 in 1Q26 (up 3% y-y). In 2Q26, average airfares rose significantly by 5% q-q and 15% y-y to CNY827.

Looking ahead to the summer peak travel season (July and August), the expert struck a cautious tone, projecting a 4% y-y drop in air traveler volumes. Although fuel surcharges have begun to decline, they remain elevated on a y-y basis. Further, macroeconomic weakness may be diverting a portion of travelers from long-haul flights to nearby destinations via driving or high-speed rail, according to the expert.

Tightening regulatory scrutiny on OTAs

The expert highlighted that recent tightening regulations by major airlines over their ticketing agencies—both online and offline—are delivering another blow to the air ticketing business. Major Chinese airlines have historically cut the commissions paid to their ticketing agencies to near-zero. This environment has forced ticketing agencies to turn to alternative channels to supplement their revenue streams.

Backed by their dominance in user traffic, OTAs operate a de facto air ticketing marketplace where smaller travel agencies, airline flagship stores, and the OTAs' self-operated (1P) ticketing services vie for booking volumes. Because the commission rates earned from third-party travel agencies are typically higher than those from airlines and 1P operations, OTAs have historically favored the former. This dynamic has drawn growing ire from the airlines, according to the expert.

In March 2026, major Chinese airlines issued tightened policies prohibiting travel

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agencies from selling air tickets on OTAs. The travel agency and the OTA will each be charged a fine of CNY 20,000 per ticket sold for any breaches of this policy. According to the expert, this tightened regulation deprives OTAs of a key revenue stream.

Implications for OTAs

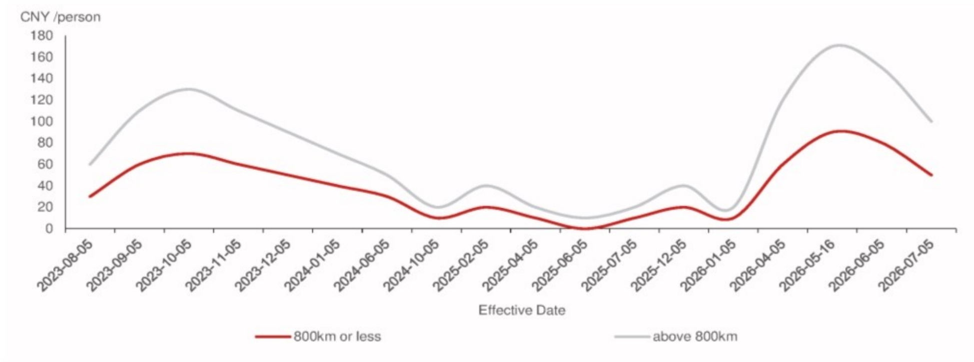
Weak air ticketing volumes year-to-date, despite strengthening airfares, have taken a toll on OTA air ticketing revenues, as domestic air ticketing commissions are tied to volume rather than ticket prices. On a positive note, air fuel surcharges have begun trending lower, which may ease price pressure in 2H26, in our view.

Comparatively, we believe the tightened regulations by airlines may have long-lasting impacts on the air ticketing market. The immediate impact is already on full display: Trip.com (TCOM US, Neutral) previously guided for a 20-30% drop in domestic air ticketing revenue on a 10% decline in domestic air ticketing volume in 2Q26.

We believe the strategic calculation behind the airlines' move is to direct user traffic toward their proprietary, self-operated booking channels, such as their websites, apps, and official online flagship stores. However, the expert noted that this strategy faces notable execution challenges. Airlines currently lack the infrastructure capacity (e.g., call centers) and operational expertise required to fully absorb the booking volumes managed by OTAs, which currently command the lion's share of the air booking market in China.

We believe OTAs will likely need to navigate this challenging period carefully. Despite the downward pressure on top-line revenue, maintaining an air ticketing presence remains strategically critical. Chinese OTAs, such as Trip.com, claims superiority in their capability to offer "one-stop-shop" services. At its core, air ticketing remains a highly effective traffic-generating business that facilitates the cross-selling of more lucrative travel products, such as hotel accommodations and packaged tours.

Fig. 1: Trend of domestic air ticket fuel surcharges



Source: Flight Management, Nomura research

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Trip.com	TCOM US	USD 41.00	02-Jul-2026	Neutral	N/A	A10

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Trip.com (TCOM US) **USD 41.00 (02-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Date	Rating	Target price	Closing price
26-Jun-26		51.00	40.89
29-Aug-25		71.00	73.75
20-May-25		67.00	63.38
26-Feb-25		57.00	58.61
19-Nov-24		61.00	62.74
27-Aug-24		48.00	45.97
21-May-24		55.00	55.83
23-Feb-24		47.00	47.34
21-Nov-23	Neutral		32.78
21-Nov-23		41.00	32.78
05-Sep-23		48.00	38.26

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Trip.com at USD51, based on 12x FY27F P/E. The benchmark index for the stock is Nasdaq Composite.
Risks that may impede the achievement of the target price Upside risks: (1) stronger-than-expected average spending per traveller; (2) faster-than-expected resumption of outbound travel with increasing international flight capacity, and; (3) sustained solid growth momentum for the China domestic travel market. Downside risks include: 1) a severe downturn in the global economy due to natural or man-made disasters; and 2) intensifying competition from emerging players.

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